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HEARD ON THE STREET

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Riskier Than Cigarettes? Why Philip Morris Stumbled

Philip Morris's bet on heated tobacco is still stumbling, but more important is that the risk of failure is high and competition fierce

By Spencer Jakab

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A customer examines caps for Philip Morris International's IQOS smokeless tobacco devices last year. AKIO KON/
BLOOMBERG NEWS

Where there's no smoke, there's fire for Philip Morris International PM **0.74%** ▲ .

The tobacco giant was once again done in by a product meant to one day replace cigarettes. Although Philip Morris handily beat analysts' earnings estimates for the second quarter, the company cut full-year guidance due to anticipated weakness in what it calls reduced-risk products, primarily its IQOS smokeless-tobacco technology.

The strong dollar also is seen taking a toll on the company, which sells cigarettes only outside the U.S.

Shareholders are justifiably worried. The stock had its sharpest ever post-results drop following first-quarter results a few months ago and fell another 5% early Thursday morning. More than \$60 billion in market value has gone up in smoke in the past year.

The reason is that the nature of Philip Morris as an investment has changed. While cigarette smoking is under assault from health authorities and faces ever-harsher taxation, that didn't mean it couldn't be an altogether pleasant decline. Back in 2012, for example, the company paid some \$12 billion, or nearly 10% of its market value, to shareholders via buybacks and dividends and invested a little over \$1 billion. Cigarettes, a 150-year-old product in terminal decline, don't require significant new investment.

But in the past 12 months, the company had 50% more in capital expenditures and returned barely half as much cash as in 2012.

A dividend boost announced on Thursday didn't do much to assuage fears over the company's uncertain bet on reduced-risk products.

Investors were optimistic about these products because they carry higher margins, for now at least. But they also face scrutiny from some health authorities and, more significantly for shareholders, tougher competition.

Philip Morris boasted on its call that its global share in heated-tobacco products is similar to that of its Philip Morris brand cigarettes, which has an international market

share of just 1.6%. The company also faces competition from upstarts. In the U.S., Juul Labs, spun out of a company founded just over a decade ago and funded by private equity, has by far the leading brand of reduced-risk products.

Buying Philip Morris stock today with its 5.8% dividend yield is itself a reduced risk proposition. The danger remains, though, that the Marlboro Man pours too much of its cash into an iffy new product rather than riding gracefully off into the sunset.

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